

RATING RATIONALE

11 Oct 2024

Jindal Saw Ltd.

Brickwork Ratings reaffirms the ratings for the Non-Convertible Debentures amounting to Rs. 500 Crs of Jindal Saw Ltd.

Particulars:

Instrument*	Previous Amount (Rs. Crs)	Present Amount (Rs. Crs)	Tenure	Previous Rating 18 Oct 2023	Present Rating#
NCDs	500	500	Long Term	BWR AA (Stable) Reaffirmation	BWR AA (Stable) Reaffirmed
Total	500	500	Rupees Five Hundred Crores Only		

* Details of facilities/NCD are given in Annexure I and II.

#Please refer to BWR website www.brickworkratings.com for the definition of the ratings

RATING ACTION/OUTLOOK:

Brickwork Ratings (BWR) has reaffirmed the long-term rating at BWR AA with a Stable outlook for the Non-Convertible Debentures (NCDs) of Jindal Saw Ltd (JSL or the company). The ratings continue to reflect the company's strong business risk profile, supported by market leadership in the carbon steel pipes segment, diversified revenue and a healthy financial risk profile on account of a low gearing and comfortable debt protection metrics. The ratings also derive comfort from the experienced promoters, an established long track record of around four decades with a demonstrated execution capability, healthy order book position, diversified customer base and a product portfolio that finds application in various end-user industries. However, these strengths are partially offset by exposure to subsidiaries and group companies, susceptibility to fluctuations in raw material prices and forex, and the inherent risk of the industry, along with intense competition.

Update with regards to hon'ble Supreme Court's ruling regarding state governments' power to tax mineral rights and mineral-bearing lands:

In its recent judgement, the bench led by Chief Justice DY Chandrachud allowed states to collect past dues in the form of royalty and tax from April 2005. The Chief Justice said that the time for payment of demand for tax shall be staggered in instalments over a period of 12 years, starting April 1, 2026.

The financial impact of the ruling is yet to be aggregated as the states are yet to come out with their decision on imposition of such retrospective tax. However, the retrospective taxation could weaken its credit metrics. On the other hand, liquidity will not be immediately affected as the payments will be staggered over 12 years starting April 1, 2026.

Company is operating a low grade iron-ore mine in the state of Rajasthan. BWR Rating will continue to monitor the situation and shall assess the impact of retrospective as well prospective impact (if any) on the operations of the company.

Update with regards to litigation between Jindal ITF Limited and NTPC

Jindal ITF Limited (JITF), subsidiary of Jindal Saw Limited is under litigation with NTPC, for which, JITF has received a favourable award from the Tribunal in January 2019, directing NTPC to pay an amount of ₹1,891.08 crore plus interest and applicable taxes to JITF. However, NTPC challenged the Award by filing its objections before the Hon'ble High Court of Delhi. The matter was heard before the Court and the Court ordered NTPC to pay ₹356 crore and another ₹500 crore on an interim basis backed by a bank guarantee to be provided by JITF. As discussed with management, any further receipt would be utilised towards reducing Jindal SAW debt obligations. The next hearing is scheduled on October 21, 2024 and October 22, 2024.

OUTLOOK: STABLE

BWR believes that the business and financial risk profile of JSL will be maintained over the medium term. The Stable outlook indicates a low likelihood of rating change over the medium term.

KEY RATING DRIVERS

Credit Strengths:-

Established track record of operations and experienced management: The company commenced its operations in 1984 and has a successful track record of operations of around four decades in the existing business line. JSL's long track record and the extensive experience of promoters have helped it establish relations with various stakeholders for its business. The company's board consists of seven independent directors, making it a professionally run company. Furthermore, the company's board is supported by an experienced and qualified management team that looks after the day-to-day operations.

Strong business risk profile supported by diversified revenues and geographically diversified operations: JSL has a diversified product profile comprising SSTP (Stainless Steel tube Pipes) and carbon steel pipes, which are used in various end-user industries such as power, oil and gas, chemicals, water and refineries. The company enjoys a dominant position in the longitudinal and helical Submerged Arc Welded (SAW) steel pipe and ductile pipe segments on account of its large capacities, established clientele, and strong technological competitiveness which has led to an above industry-average profitability over the years. JSL has geographically diversified operations across the country, at Kosi Kalan (Uttar Pradesh), Indore (Madhya Pradesh), Mundra (Gujarat), Bellary (Karnataka), Nasik, Nagothane and Tembhurni (Maharashtra). The company also has presence in Bhilwara (Rajasthan), where apart from having a low-grade iron ore mine, it has implemented iron ore beneficiation and a pellet plant. With acquisition of Sathavahana Ispat Limited (SIL), engaged in the manufacturing of DI pipes, pig iron and having its own coke oven and power plant, the company can now cater to the Southern region of India. The said acquisition is likely to benefit JSL in terms of garnering the Southern DI pipes market where SIL has its

manufacturing facilities. SIL stands merged with Jindal Saw Limited with effect from 26th April, 2023.

Healthy Order Book Position: As on June 30, 2024, JSL had a healthy order book of nearly USD 1.65 billion increasing from USD 1.5 billion as on March 31, 2024. Order book consists of around 32% orders from global markets. The mix of order-books also remains healthy with the Water and Irrigation sector accounting for around 70% of the orders followed by the Oil & Gas sector with a share of ~25% and the Industrial sector accounting for the rest. The order book is expected to be executed in the next 3-4 quarters.

Growth in Total Operating Income and profit margins: JSL's total operating income (TOI) has shown a significant improvement in FY24 with a growth of around 18% from Rs. 15,282 crore in FY23 to Rs. 17,961 crore in FY24 on account of higher volumes and increased realisation. The net profit margins have also improved from 4.68% in FY23 to 8.99% in FY24.

Moderate financial risk profile: JSL has a moderate financial risk profile characterised by moderate debt coverage indicators and a comfortable standalone overall gearing. The overall gearing of the company, on a standalone basis, improved marginally and continued to remain healthy at 0.39x as on March 31, 2024 (FY23: 0.41x). The total debt-to-EBITDA ratio of the company improved significantly to 1.38x as on March 31, 2024, from 2.45x in FY23. According to the company management, during FY24 and Q1FY25, no further incremental major support was provided towards subsidiaries/group companies. The interest service coverage ratio also improved from 2.52x in FY23 to 4.81x in FY24.

Competitive advantage in cost structure for Pellet Plant: JSL operates a captive mine in Bhilwara, Rajasthan, with estimated reserves of nearly 180 MMT of low-grade iron ore and extracts about 6-7 million tonnes annually. The pellets division reported sales of Rs. 1,814.29 crore in FY24, which grew as compared to Rs. 1,565.34 crore in FY23 backed by volume growth. The captive availability of iron ore leads to competitive cost structure for the pellets manufactured by the company, and relatively stable operating profit margins for the company as a whole.

Credit Risks:-

Exposure to subsidiaries/group companies: JSL has significant investments in subsidiaries, joint ventures (JV), and associates in the form of equity investment as well as loans and advances. The company has reported an investment of about ₹1,182 crore (unquoted investment) as on March 31, 2024. Further, JSL also have commitments towards its subsidiaries in the form of corporate guarantees amounting to ₹951 crore as on March 31, 2024 (PY: ₹681 crore). However, the management stated and demonstrated stance that no major cash support has been provided to any subsidiary in FY24 and FY23 except for a newly formed JV entity namely Jindal Hunting Energy Services limited.

Susceptibility to fluctuation in raw material prices and forex: The two key raw material items for the company include steel and coking coal, and the prices of both have been highly volatile in the recent past; a sharp adverse movement in any of the commodity prices can have a bearing on

the company's profitability. To mitigate the same, the company procures steel backed by the order book, avoiding large time lags between procuring the new order and booking for steel for the same. The company avoids speculations, which helps it stabilise profitability margins. The majority of the forex exposure for the company is naturally hedged, and the remaining exposure of the company is hedged by booking forward contracts.

Inherent risk of the industry and intense competition: The industry is highly fragmented, with the presence of both organised and unorganised players providing similar products/services. Hence, the company faces competition from regional players, leading to intense competition and pricing pressures, which in turn affects the company's profitability margins.

ANALYTICAL APPROACH

To arrive at its ratings, BWR has applied its rating methodology as detailed in the rating criteria below (hyperlinks provided at the end of this rationale). BWR has used a standalone approach while arriving at the ratings.

KEY RATING SENSITIVITIES

Positive:

- A sustained and substantial improvement in revenue, profitability and debt coverage indicators.
- Significant reduction in exposure towards subsidiaries/group companies, leading to improvement in financial risk profile

Negative:

- A substantial deterioration in operational performance or sizable reduction in order book position resulting in softened profitability and debt coverage indicators (Total debt to TNW beyond 0.75x).
- Any incremental cash support towards subsidiaries/group companies impacting its leverage position
- Any adverse outcome from ongoing litigation between NTPC and JITF, resulting in further support provided to JITF, impacting JAWs leverage and debt coverage indicators

LIQUIDITY INDICATORS (Adequate): Jindal Saw Limited has adequate liquidity marked by healthy net cash accruals of Rs. 2327 Crs in FY24 against the annual debt repayment obligations aggregating to ~Rs. 529 crores in FY25. The company had unencumbered cash and cash equivalents of Rs. 480 crore as on March 31, 2024. The maintenance capex requirements of Rs. 500-600 crore are modular and will be funded through internal accruals. The overall gearing and the current ratio of the company is also comfortable at 0.39x and 1.51x respectively as on March 31, 2024.

COMPANY PROFILE

Macro Economic Indicator	Sector	Industry	Basic Industry
Industrials	Capital Goods	Industrial Products	Iron & Steel Products

Jindal Saw Ltd (JSL), the flagship company of PR Jindal group, was incorporated as Saw Pipes Ltd in 1984, and the name of the company was changed to Jindal Saw Ltd in February 2005. It manufactures LSAW pipes, HSAW pipes, DI pipes, seamless pipes and pellets. The promoter group held a 63.26% equity stake in the company as on 30 June 2024. It is listed on both the Bombay Stock Exchange (BSE) and National Stock Exchange (NSE). Company's manufacturing units in India with a capacity of 24,50,000 metric tonne per annum, are located in Uttar Pradesh, Gujarat, Maharashtra, Andhra Pradesh, Karnataka, Rajasthan, and Madhya Pradesh. Besides this, it had an iron ore mine at Bhilwara (Rajasthan) with a beneficiation plant and pellet plant with an installed capacity of 16,50,000 MTPA, as on 31 March 2024. It is an ISO-certified company. Recently, the company has also acquired Sathavahana Ispat Limited (SIL), which is engaged in the manufacturing of DI pipes, pig iron and having its own coke oven and power plant, which will help the company cater to its market in southern India.

Further, on August 23, 2024, the company announced stock split by splitting the face value of its shares from Rs 2 to Rs 1. The shares are quoted on an ex-split basis from October 09, 2024.

KEY FINANCIAL INDICATORS

Rs. Crs	Standalone			
	FY22	FY23	FY24	Q1FY25
	Audited	Audited	Audited	Unaudited
Total Operating Income	11022.27	15282.54	17961.97	4337
EBITDA	1115.40	1344.32	2815.43	762
Net Profit	405.50	714.84	1614.11	446
Total Debt	4172.58	3289.96	3886.92	-
Tangible Net worth	7480.15	7976.98	10071.96	-
Debt to Equity	0.57	0.41	0.39	-
Current Ratio	1.37	1.40	1.51	-

KEY COVENANTS OF THE INSTRUMENT/FACILITY RATED: The rated NCD raised by the Company are in the nature of secured redeemable non convertible debentures. Other details of these rated instruments are as per Annexure II.

NON COOPERATION WITH PREVIOUS RATING AGENCY(IF ANY) - NA

RATING HISTORY FOR THE PREVIOUS THREE YEARS (including withdrawn / suspended ratings)

S.No	Instrument/Facility	Current Rating (2024)			Rating History		
		Type (Long Term/ Short Term)	Amount (Rs. Crs)	October 2024	2023	2022	2021
1	NCD	Long Term	500	BWR AA (Stable) Reaffirmed	BWR AA (Stable) Reaffirmed (October 18)	BWR AA (Stable) Reaffirmed (14 September)	BWR AA (Stable) Reaffirmed (03 September)
	Total		500	Rupees Five Hundred Crores Only			

COMPLEXITY LEVELS OF THE INSTRUMENTS: Simple (NCDs with fixed rate of return and no put/call option). BWR complexity levels are meant for educating investors. For more information, visit, www.brickworkratings.com/download/ComplexityLevels.pdf. Investors' queries can be sent to info@brickworkratings.com.

Hyperlink/References to Applicable Criteria

- [General Criteria](#)
- [Approach Financial Ratios](#)
- [Manufacturing Companies](#)

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Jindal Saw Ltd.

Annexure I- Details of Bank Loan Facilities Rated by BWR -

Sl. No.	Name of the Bank	Type of Facilities	Long Term (Rs.Crs.)	Short Term (Rs.Crs.)	Total (Rs.Crs.)
NA					

Annexure II- INSTRUMENT (NCDs) DETAILS

Instrument	Issue Date	Amount (Rs. Crs)	Coupon(%)*	Maturity Date**	ISIN No.	Complexity of the instruments
NCDs (Issued)	26 Mar 2021	500	8.25% payable semiannually	31 Mar 2031	INE324A 07179	Simple

*Coupon payable semi-annually on March 26 and September 26 of every year.

**NCDs will be redeemed in 3 equal annual instalments payable on 26th March 2029, 26th March 2030 & 26th March 2031.

Annexure III List of Consolidated Entities - NA

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